

GA 5

Financial Snapshot

Group 9

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Financial data and research

Industry Benchmarks and Standards for Grocer Ai

- **Average Revenue Per User (ARPU):** Look at industry reports to see how much revenue similar apps make per user, like \$10/month.
- **Conversion Rates:** Research how many users of similar apps upgrade from free to paid versions.
- **Customer Acquisition Costs (CAC):** Find out the average cost to attract a new user, including marketing expenses.
- **Churn Rates:** Check the rate at which users stop using similar apps to predict long-term user retention for "Grocer Ai."
- **Gross Margin:** Compare "Grocer Ai's" profitability before operating expenses with industry averages.
- **Operating Efficiency:** Analyze how well "Grocer Ai" manages its expenses compared to revenue, based on industry norms.
- **Market Share:** Aim for realistic growth targets by comparing "Grocer Ai's" potential sales to total industry sales.
- **Technological Adoption:** Align "Grocer Ai's" tech advancements with current industry trends.

Revenue Streams for Grocer Ai:

- **Advertising Revenue:** Generate income from in-app ads. Base charges on various advertising models.
- **Subscription Revenue (Freemium Model):** Offer a basic version of "Grocer Ai" for free while charging for a premium version with advanced features, enhancing the user experience.

Pricing Strategy and Sales Forecasting for Grocer Ai:

- **Pricing Strategy:** Set prices based on what competitors charge and what customers value. Consider a freemium model with a free basic version and a paid premium version.
- **Sales Forecasting:** Estimate "Grocer Ai's" market share and sales based on the target market size and growth rate. Factor in seasonal changes and predict sales for different revenue streams.

Risk Assessment for Grocer Ai:

- Identify and evaluate risks like market competition, shifts in consumer trends, technological failures, and financial challenges.
- For each risk, assess how likely it is to happen and its potential impact on the business.
- Develop strategies to reduce these risks and regularly review their effectiveness.

Validation and projection

1. Market Demand:

Validated Customer Segments: College/University Students, Office workers, People who like cooking.



Our app would be the best choice for people who are looking to shop at a physical store. As we can see from the graph, 57.4% urban population and 63.7% rural population prefers to go to physical stores, and our main customer base will be this population.

2. Revenue Model:

- **Advertising Revenue:** Initially we are aiming to set-up banner ads as they won't interrupt user's activity in the app. Once we have a solid customer base, then we can move on to pop up ads, but not more than 2 as users use the app to save timing and adding too many ads would annoy the users.

On an average we can earn \$10 to \$20 per month from CPM (cost per mille) and CPC (cost per click):

- **Subscription Revenue (Freemium Model):**

Basic Version: Free of charge.

Premium Offer: \$5 for personalized experience, shopping list recommendations and saving customer's preferences.

3. Customer Acquisition Cost (CAC):

Advertising and marketing would take upto \$45 per month.

Estimated CAC based on this amount is \$0.40 for 1000 customers. But this estimate is very low and will be updated as per real data. In comparison, lifetime value of a customer (LTV) calculated is \$20.

4. Growth Potential:

Based on the financial snapshot we can see that there is a huge growth potential. Detailed explanation is given in the *income statement* section.

First year: 147\$ profit

Second Year: 1008\$ profit

Third Year: 883\$ profit

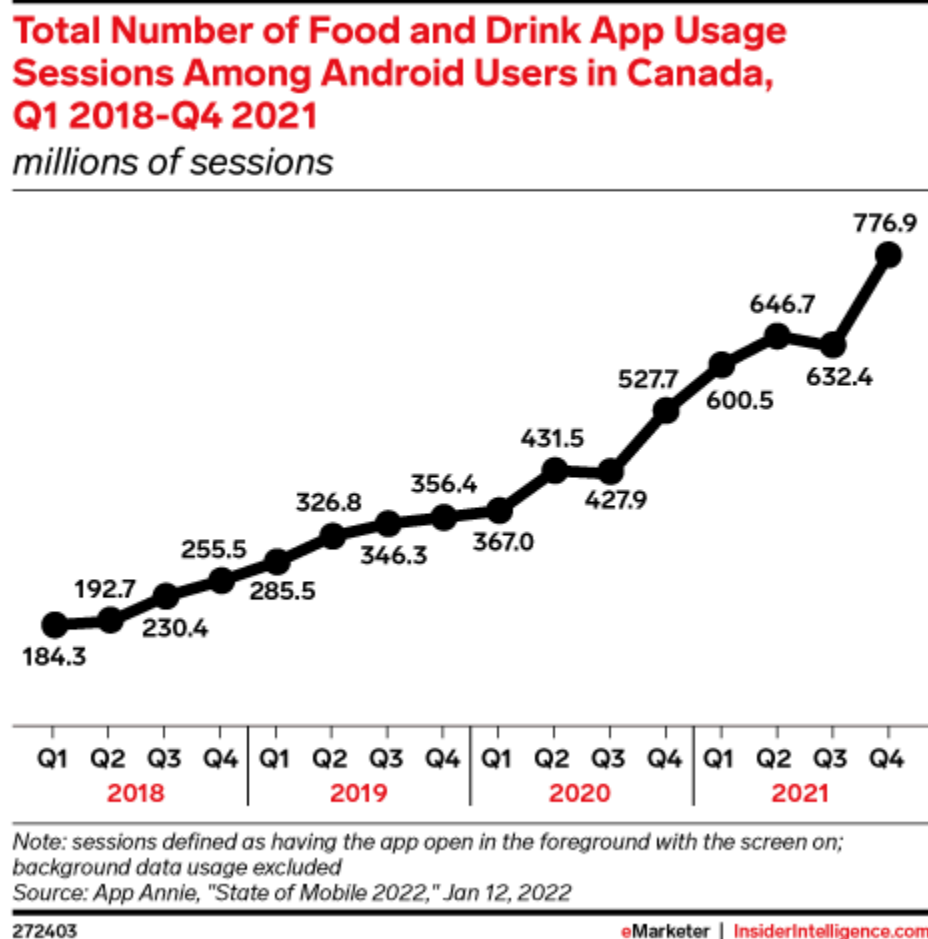
And with the customer base growing from 5 customer growth per month in the first year to 15 customers growth per month in the 3rd year.

5. Projections:

User Growth Projections:

Starting from 5 customers at the initial stages and 500-1000 customers at the end of 3rd year.

Market Trend Projection:



Based on this graph, there is a growth trend seen in the amount of people getting app help to do groceries. This allows us to deduce that the Grocery app would show a trend among mobile users.

Income statement

Detailed income statement excel sheet attached.

For the Month to month over view of the Income statement, there is an estimated of 15 customers expected for the first month of sales with a \$2 subscription charge generating a revenue of \$30. For the following months there is an expected increase of atleast 5 customers per month with a steady increase in the generated revenue over the 12 months. There is a steady cost for the advertisement/ promotion and the credit card transaction fee through out the year. There is an increase in the Owner's draw as the generated revenue increases. For the first year the margin of cost for advertisement is \$500 based on which the cost is distributed equally over the 12 months assuming a consistency in advertisements to having \$41.67 spent each month. Expected cost spent on the transaction fee by the end of the year is \$23 based on 2% rate thus again distributing the cost equally over the 12 months costing \$1.90 per month. There is a possibility of the first month to go in loss and the following months to generate increasing profits.

When it comes to the 3 year plan:

The first year, we assumed a base growth of 5 customers per month with a starting customer base of 15. When setting a 2\$/month subscription we can see a gross margin of 1170\$ **(1.1)** as there are no inventory costs. Further on, we draw out a 500\$ salary for the owner's as well as 500\$ plus the 2% credit card transfer fee at 23\$. In total we would receive 147\$ in net profit after tax.

$$(1.1) \Sigma(n) = (2 * 15) + (2 * 5n)$$

The second year, we took our base customer base from the previous year which would be $(15 + 5(12))$ 75 and we would assume growth of 10 customers per month. When keeping the same subscription price, we assume a 3510\$ gross margin, **(1.2)** which then leads us to a 1000\$ owner's salaries plus another 1000\$ into advertisement and promotion. We then also add the credit card transaction fee of 2% which results in 70\$. Once all of that is taken into account, we find a 1008\$ net profit after tax with the income tax being -432\$.

$$(1.2) \Sigma(n) = (2 * 75) + (2 * 10n)$$

Lastly, for the last year we would take once again the previous years customer base and add on a growth of 15 customers per month. This leads us to a gross margin of 7410\$. Once we include the owner's salaries of 4000\$, and the advertisement and promotion cost of 200\$m, and the 148\$ credit card transaction fee, we ding ourselves with 883\$ in net profit after tax.

This concludes our 3 year plan. Further details can be found in the [detailed excel sheet](#).

Reference

<https://devtechnosys.com/insights/grocery-app-development-cost/>